

CHAPTER EIGHT

Overcoming Obstacles

Once people have studied and become financially literate, they may still face roadblocks to becoming financially independent. There are five main reasons why financially literate people may still not develop abundant asset columns. Asset columns that could produce large sums of cash flow. Asset columns that could free them to live the life they dream of, instead of working full time just to pay bills. The five reasons are:

1. Fear.
2. Cynicism.
3. Laziness.
4. Bad habits.
5. Arrogance.

Reason No. 1. Overcoming the fear of losing money. I have never met anyone who really likes losing money. And in all my years, I have never met a rich person who has never lost money. But I have met a lot of poor people who have never lost a dime. . .investing, that is.

The fear of losing money is real. Everyone has it. Even the rich. But it's not fear that is the problem. It's how you handle fear. It's how you handle losing. It's how you handle failure that makes the difference in one's life. That goes for anything in life, not just money. The primary difference between a rich person and a poor person is how they handle that fear.

It's OK to be fearful. It's OK to be a coward when it comes to money. You can still be rich. We're all heroes at something and cowards at something else. My friend's wife is an emergency room nurse. When ; she sees blood, she flies into action. When I mention investing, she runs'j away. When I see blood, I don't run. I pass out. My rich dad understood phobias about money. "Some people are terrified of snakes. Some people are terrified about losing money. Both are phobias," he would say. So his solution to the phobia of losing money was this little rhyme: "If you hate risk and worry. . .start early."

That's why banks recommend savings as a habit when you're young. J If you start young, it's easy to be rich. I won't go into it here, but there is a large difference between a person who starts saving at age 20 versus age 30. A staggering difference.

It is said that one of the wonders of the world is the power of compound interest. The purchase of Manhattan Island is said to be one of the greatest bargains of all time. New York was purchased for \$24 in